

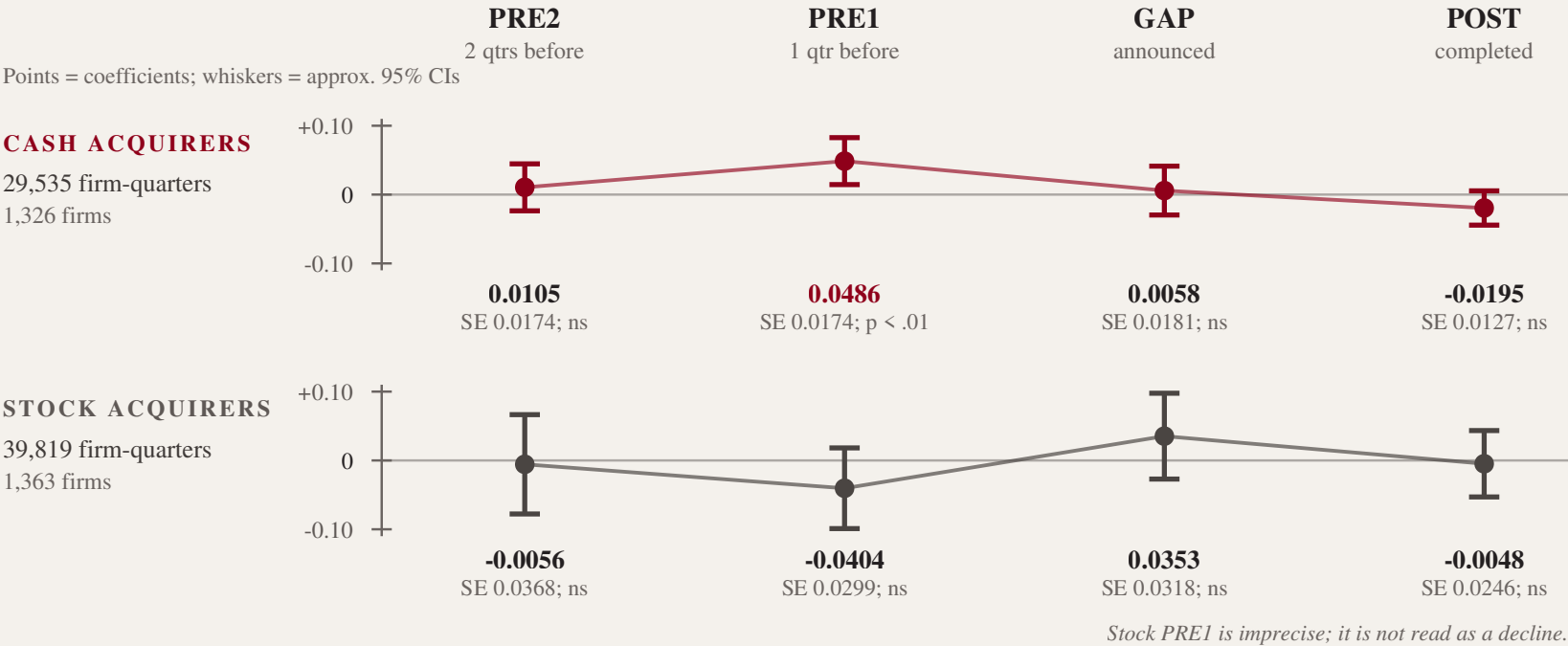
FINDING 3

Cash vs. Stock

Cash deals show the pre-announcement run-up; a **direct pooled test** supports a larger effect than stock. The evidence supports **concentration in cash**, not proof of a cash-only effect.

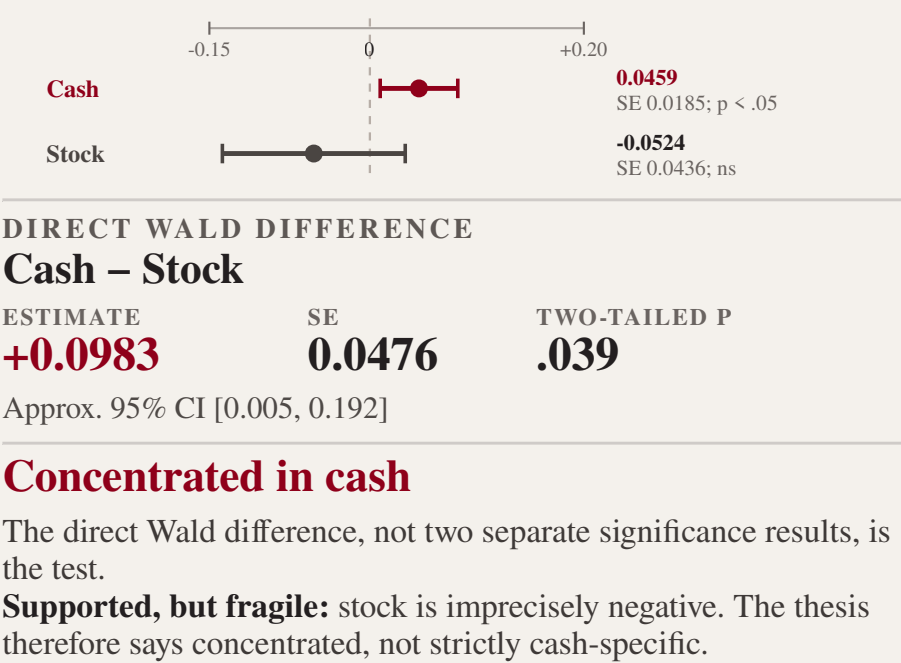
1 DESCRIPTIVE SIDE-BY-SIDE

Separate complete-case panels; baseline is e ≤ -3 plus never-acquirers. Descriptive only.



2 FORMAL POOLED TEST

Cash and stock indicators enter the same regression.



POOLED SAMPLE
25,600 firm-quarters
1,191 firms

SAMPLE AND BASELINE
Pre-deal quarters before the first ≥ 50% cash or stock acquisition, plus firms making neither. Neither-deal firms are the baseline.

CONTROLS AND FIXED EFFECTS
Leverage, ln(assets), Tobin's Q, ROA, capex, dividend indicator, cash-flow volatility; firm and calendar year-quarter fixed effects.

INFERENCE
Firm-clustered SEs; two-tailed tests.